

Proposed Alberta data centre's property taxes could be millions

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OLDS — The proposed \$10 billion Synapse data centre complex powered by a 1.4 gigawatt natural gas power plant could generate “millions of dollars in tax revenue” for the Town of Olds, the municipality’s chief administrative officer says. Brent Williams made that statement during a recent Town of Olds council meeting, although he admitted it’s really tough to know what the numbers will be because data centres are such a new tax revenue source in Alberta. The assessed value of property is a factor in calculating property taxes. During that recent council meeting, Joanne Mckinnon and Travis Howard of the Municipal Affairs assessment services branch gave a 47-minute presentation on the taxation of designated industrial property (DIP) facilities in Alberta. That included large-scale industrial properties like natural gas plants, pipelines and data centres over 75 megawatts (MW). It was said that if Synapse Real Estate’s proposed data centre is approved, construction could be completed by October 2031. “Because data centres are a new type of inventory, and the non-assessable computer equipment cost being the majority (of) the overall project, determining the estimated assessment value is a bit challenging as of right now, until the project is completed and construction costs renditions are submitted,” Howard said. Council was told though that assessment of data centres across the province “could generate over \$2.2 billion in tax revenue for municipalities and supporting essential public services, and \$420 million for the Alberta school foundation fund.” Coun. Curtis Cook said council had received a delegation that said 15 per cent of the overall project cost would be assessable, which could result in about \$19.5 million dollars per year. He noted that Williams has had discussions with provincial officials to try to nail down potential revenue to the Town of Olds from a data centre. He asked if Williams had received any answers on whether that \$19 million figure is accurate or not. Williams confirmed he has had discussions on the topic with provincial officials but nothing solid yet, at least for public consumption. “I’ve not gotten a confident answer from the province I’m comfortable sharing publicly, but certainly at full scale, anything in the realm of a gigawatt is going to generate millions of dollars in tax revenue,” he said. “What that number is, though is to be determined.” Coun. Darren Wilson asked if municipalities can challenge an assessed value for a facility. Mckinnon said they can. Wilson also asked if portions of facilities are taxable even if it takes several years for the facility to be fully built out. Travis said they are. “We have that throughout Alberta where there are certain projects that happen can take five years to build,” he said. “If they’re connected to the grid or producing, that is assessable, so if only phase one is complete (then) that would be assessable and taxable for the municipality.” Coun. Chad Taylor

recalled that during the presentation it was said that a provincial two per cent levy will become effective Dec. 31, 2026. "If a project is assessed before, then does the project effectively dodge that levy," he asked. "Is that grandfathered in there for the future, or is it just for a single year?" Mckinnon said they don't yet have an answer for that question. "We're going to apologize because we're very new, and all this is still kind of come coming together on our end too," she said. Coun. Wanda Blatz asked what would happen if the facility is built, then is abandoned for one reason or another. "What happens to the assessed values and the town's tax revenue," she asked. "I can't answer that yet, there is no mechanism in place," Mckinnon said. "I know when it comes to power generation, they actually have some safeguards in place for whatever property does go bankrupt. "But when it comes to these data centres, I can't answer that." Howard said he couldn't answer it either. "Now I know if the facility was to stop...shut down completely, and I know that the M and E (machinery and equipment) portion would become non-assessable or non-taxable at that point. "The buildings on the land would still be considered assessable. "But since this is such a new inventory type, we've never seen this type before. So tough to answer question like this at this moment," he said. "I hope that the number of unanswered questions that we have here just speaks to just how new all this is for all of us," Taylor said. "I really do hope that some of this feedback is taken well and we can work together for some fair and equitable assessments on these new projects." Mayor Dan Daley echoed that thought. "This is a new experience for all of us and I hope that this gets all of us thinking a little bit differently about the assessment and moving forward with some with some definite answers," he said. Council voted to accept the presentation as information.